

UNITED STATES OF AMERICA
Before the
SECURITIES AND EXCHANGE COMMISSION

SECURITIES ACT OF 1933
Release No. 11450 / October 1, 2026

SECURITIES EXCHANGE ACT OF 1934
Release No. 106568 / October 1, 2026

ACCOUNTING AND AUDITING ENFORCEMENT
Release No. 4604 / October 1, 2026

ADMINISTRATIVE PROCEEDING
File No. 3-22767

In the Matter of

LATCH, INC.,

Respondent.

**ORDER INSTITUTING CEASE-AND-
DESIST PROCEEDINGS PURSUANT TO
SECTION 8A OF THE SECURITIES ACT
OF 1933 AND SECTION 21C OF THE
SECURITIES EXCHANGE ACT OF 1934,
MAKING FINDINGS, AND IMPOSING A
CEASE-AND-DESIST ORDER**

I.

The Securities and Exchange Commission (“Commission”) deems it appropriate that cease-and-desist proceedings be, and hereby are, instituted pursuant to Section 8A of the Securities Act of 1933 (“Securities Act”) and Section 21C of the Securities Exchange Act of 1934 (“Exchange Act”), against Latch, Inc. (“Latch” or “Respondent”).

II.

In anticipation of the institution of these proceedings, Respondent has submitted an Offer of Settlement (the “Offer”) which the Commission has determined to accept. Solely for the purpose of these proceedings and any other proceedings brought by or on behalf of the Commission, or to which the Commission is a party, and without admitting the findings herein, except as to the Commission’s jurisdiction over it and the subject matter of these proceedings, which are admitted, Respondent consents to the entry of this Order Instituting Cease-and-Desist Proceedings Pursuant to Section 8A of the Securities Act of 1933 and Section 21C of the Securities Exchange Act of 1934, Making Findings, and Imposing a Cease-and-Desist Order (“Order”), as set forth below.

III.

On the basis of this Order and Respondent's Offer, the Commission finds¹ that:

Summary

1. These proceedings arise out of revenue recognition errors by Respondent, a Missouri-based manufacturer of smart access hardware and software products, that spanned from at least January 2019 through March 2022 (the "Relevant Period"). Respondent became a public company through a June 2021 business combination (the "De-SPAC Transaction") with a special purpose acquisition company (the "SPAC") that resulted in Respondent obtaining approximately \$450 million in cash proceeds from investors. Respondent materially misrepresented its 2019 and 2020 revenue in financial statements that were included in registration statements and proxy filings filed with the Commission and provided to investors in connection with the De-SPAC Transaction. After Respondent became publicly traded, it continued to misstate its revenue, including in its 2021 Form 10-K and interim period reports and associated Forms 8-K.

2. Respondent grew rapidly following its first commercial sale in 2016, but its internal accounting control environment did not keep pace. Respondent had an aggressive sales culture that prioritized meeting internal targets by shipping hardware—often in advance of organic customer demand and through the use of side agreements—meaning agreements not contained in the purchase order or sales order. Notwithstanding the use of side agreements and its aggressive sales culture that resulted in sales being pulled forward, Respondent failed to devise and maintain a sufficient system of internal accounting controls to detect the agreements or make sure that key details regarding these sales were available to permit preparation of its financial statements in accordance with U.S. generally accepted accounting principles ("GAAP"). Respondent also failed to devise and maintain a sufficient system of internal accounting controls to: (1) assess the collectability of its contracts with distributors, resulting in Respondent recognizing revenue for sales through distributors who did not have the ability to pay; and (2) ensure timely collection of sell-through pricing data to incorporate into its revenue recognition transaction price determination certain discounts it provided. As a result, investors and market participants lacked accurate information to make informed investment decisions.

3. Following an internal investigation into these and other issues, Respondent filed an annual report in December 2024 for the year ended December 31, 2022 (the "Restated 10-K"), which disclosed that Respondent had overstated its revenue for the Relevant Period, including by approximately 107% for the year ended December 31, 2019; 39% for the year ended December 31, 2020; and 50% for the year ended December 31, 2021 (as well as in interim periods).

4. Based on the foregoing and the conduct described below, Respondent violated Sections 17(a)(2) and 17(a)(3) of the Securities Act and Sections 13(a), 13(b)(2)(A), 13(b)(2)(B), and 14(a) of the Exchange Act and Rules 13a-1, 13a-11, 13a-13, and 14a-9 thereunder.

¹ The findings herein are made pursuant to Respondent's Offer of Settlement and are not binding on any other person or entity in this or any other proceeding.

Respondent

5. Respondent is a Delaware corporation based in Olivette, Missouri that develops and manufactures smart access hardware and software products for multi-family residential properties. From its founding in 2014 until June 2021, Respondent was privately held. Respondent announced a merger with the SPAC in January 2021 and became publicly traded on June 7, 2021. From June 2021 to June 2024, Respondent's common stock and warrants were registered pursuant to Section 12(b) of the Exchange Act and, from June 2021 to April 2024, traded on the Nasdaq Global Select Market under the tickers "LTCH" and "LTCHW," respectively. Respondent's common stock and warrants are registered pursuant to Section 12(g) of the Exchange Act and are traded on the OTC Link ATS.

Facts

Background

6. Respondent began selling smart locks in or around 2016, targeting the multi-family residential industry as its primary market and building developers and operators as its customers. Respondent entered into non-binding letters of intent ("LOI") with those developers that set forth, among other things, the quantity and price for Respondent's hardware and software as well as a target delivery date for anticipated installation. In most cases, however, Respondent delivered the locks to a sales agent (referred to as a channel partner) that had the expertise to install and activate them. During the Relevant Period, most of Respondent's revenue came from hardware sales made through channel partners.

7. On January 24, 2021, Respondent signed a merger agreement with the SPAC. Respondent's 2019 and 2020 financial statements, which contained its materially overstated revenues, were included in filings made with the Commission, including a Form S-4 filed on March 10, 2021, four amendments filed on March 30, 2021, May 3, 2021, May 10, 2021, and May 12, 2021, and a May 13, 2021 prospectus/proxy statement. The SPAC's shareholders approved the merger and the transaction closed on June 4, 2021. The transaction resulted in Respondent obtaining approximately \$450 million in cash proceeds.

8. Additionally, after it became a publicly traded company in June 2021, Respondent reported materially overstated revenue in its June 25, 2021 Form S-1 registration statement, as well as related July 7, 2021 and March 4, 2022 amendments, and in its current and periodic reports filed with the Commission from the time it became a publicly traded company through the first quarter of 2022.

Respondent's Revenue Recognition Policy and its Application

9. Respondent disclosed in public filings that it prepared its financial statements in accordance with GAAP and, more specifically, that it recognized revenue consistent with Accounting Standards Codification Topic 606, *Revenue from Contracts with Customers* ("ASC 606"). Respondent also disclosed that it recognized hardware revenue when the hardware was shipped to its customers or channel partners, which was when Latch determined that control over the product transferred to the customer, in an amount that reflected the consideration it expected to receive in exchange for those products.

10. Respondent could not, and did not, account for certain of its hardware sales transactions in accordance with ASC 606 and its own accounting policies, in large part because it had not devised and maintained a sufficient system of internal accounting controls to reasonably assure that all relevant sales terms and other pertinent sale-related information were obtained and considered by the appropriate personnel to determine whether, when, and in what amount to recognize revenue.

Respondent Failed to Consider or Account for Sales Terms in Side Agreements

11. Respondent typically received binding purchase orders from channel partners that contained the terms of the transaction. Respondent also had policies governing its relationships with channel partners that established certain standard terms and generally required channel partners to submit purchase orders for specific projects.

12. Throughout the Relevant Period, Respondent's sales personnel aggressively sought purchase orders from channel partners, which allowed Respondent to ship product, to meet short-term sales targets and hit personal sales quotas for commissions. Sales personnel often offered nonstandard arrangements to induce channel partners to submit purchase orders for products before the date Respondent's end customer had indicated it needed the product for installation. These nonstandard terms were documented, if at all, in side agreements and included, at times, unconditional rights to return products; conditional or extended payment terms; obtaining purchase orders from, and shipping hardware to, channel partners without specified customer projects; and providing free storage. Because Latch recognized revenue upon shipment to the channel partner, these practices, at times, caused Latch to improperly recognize revenue before control transferred to the customer.

13. Despite the systemic nature of these practices, Respondent failed to devise and maintain a sufficient system of internal accounting controls to determine when revenue could be properly recognized. Respondent did not have sufficient internal accounting controls to identify side agreements and provide reasonable assurance that all relevant sales terms and other pertinent sale-related information were obtained and considered by the appropriate personnel to determine whether, when, and in what amount to recognize revenue. For example, Respondent's sales personnel were supposed to enter relevant sales terms into a sales system and could upload notes and documents relating to side agreements. Those terms then migrated to an accounting system for review and approval by finance and accounting. However, Respondent had no sufficient mechanism that provided reasonable assurance that sales personnel actually entered side agreement information into the sales system so that it was available to finance and accounting personnel for consideration in accounting determinations and, in practice, they rarely, if ever, did. As a result, Respondent's accounting team did not have all relevant information to account for certain sales transactions appropriately.

14. Respondent's sales practices, coupled with its internal accounting control failures, resulted in significant revenue recognition issues. Many sales transactions were recorded in a manner inconsistent with ASC 606 and Respondent's own accounting policies. As a result, in some instances, Respondent recognized revenue that should not have been recognized in any period, while in many other instances Respondent recognized revenue in incorrect periods.

15. For example, on or around December 9, 2020, in the last month of the quarter, Respondent shipped \$147,000 of hardware to a channel partner conditioned on it having the right to return the hardware without consequence if the building developer did not move forward with its project—a nonstandard term that was memorialized in a side agreement and not provided to Respondent’s finance and accounting team. Because of the side agreement, contrary to ASC 606 and its own accounting policies, Respondent improperly recognized \$147,000 in revenue relating to this transaction in the fourth quarter of 2020. In or around June 2021, the channel partner returned the hardware.

16. In another instance, in March 2021, days before the end of the quarter, Respondent shipped approximately \$474,000 of hardware to a channel partner conditioned on it having the right to return the hardware without consequence. Sales personnel also agreed that the channel partner could pay for the hardware after it received payment from the building developer, the timing of which was uncertain. These side agreements were not shared with Respondent’s finance and accounting team. Contrary to ASC 606 and its own accounting policies, Respondent improperly recognized approximately \$474,000 in revenue from the transaction in the first quarter of 2021. In fact, Respondent concluded as part of its restatement process that the revenue associated with this transaction should have been recognized in later periods, including approximately \$350,000 in the second quarter of 2023 or later—more than two years after Respondent initially recognized it.

Respondent Failed to Assess Collectability

17. Respondent’s ASC 606 accounting policies reflected, among other things, that revenue could be recognized if it was probable the company would collect substantially all of the consideration it was owed by the customer for that transaction. However, Respondent failed to devise and maintain a sufficient system of internal accounting controls to assess collectability. Respondent, therefore, lacked a reasonable basis to determine that it could recognize revenue under ASC 606 and its own accounting policies.

18. For example, during the Relevant Period, Respondent recognized as revenue nearly \$5.7 million from a single channel partner while collecting only \$0.3 million in cash. The channel partner, as agent for customers, was responsible for payment to Respondent. Respondent had significant past due accounts receivable for this channel partner during this period but continued to recognize revenue for hardware that was shipped to it without a reasonable basis to conclude that collectability would be assured. Respondent concluded in its restatement process that, had it devised and maintained a sufficient system of internal controls to assess collectability, it likely would not have extended additional credit to the channel partner and, as a result, determined that it recognized revenue in contravention of both GAAP and its own accounting policies.

Respondent Recognized Revenue Based on an Improper Transaction Price

19. During the Relevant Period, Respondent offered price discounts—referred to internally as distributor cuts—to channel partners who acted as sales agents. These discounts were often in excess of 20% of the hardware’s retail price. Channel partners could pass through all or a portion of the distributor cut to Respondent’s end customers, the building developers or operators.

20. In its ASC 606 accounting policies, Respondent concluded that the channel partners were agents in sales transactions with building developers and operators. Respondent determined it could recognize as revenue the full transaction price paid by the developer, with the distributor cut recorded as a cost of sales. Respondent's ability to determine its transaction price, including estimating any variable consideration, was premised on Respondent having access to the sell-through price that the building developer or operator ultimately paid for Respondent's hardware. Respondent's accounting policies acknowledged that in instances where it did not, or could not, obtain sell-through pricing data, it should exclude the distributor cuts from the transaction price and recognize revenue at the price paid to Respondent by the channel partner.

21. Respondent failed to devise and maintain a system of internal accounting controls sufficient to provide reasonable assurance that it received the necessary sell-through pricing data. From 2019 through August 2021, Respondent's policies required channel partners to report sell-through pricing data in response to a request from Respondent. However, Respondent rarely, if ever, requested sell-through pricing data from its channel partners. Starting in August of 2021, Respondent modified its policies to require channel partners to include sell-through pricing data in their purchase orders. Respondent, however, did nothing to ensure or otherwise enforce its policy that sell-through pricing data be included in channel partners' purchase orders. Instead, Respondent improperly relied on the pricing terms established in the non-binding LOIs that Respondent entered into with building developers. This was improper because channel partners had the ability to modify the price charged to the developers.

22. Respondent lacked sufficient sell-through pricing data to support its estimate of the variable consideration in the transaction price in contravention of ASC 606 and its own internal accounting policies. In its Restated 10-K, Respondent identified that transaction price errors resulted in hardware sales revenue overstatements in the amounts of \$3.7 million, \$4.1 million, and \$4.5 million for the years ended December 31, 2019, 2020, and 2021, respectively.

Respondent's Internal Investigation and Restatement

23. In mid-2022, in response to allegations that Respondent had engaged in improper sales practices, the Audit Committee of Respondent's Board of Directors ("Audit Committee") initiated an internal investigation into Respondent's historical revenue recognition practices. On August 10, 2022, Respondent disclosed its investigation in a Form 12b-25 Notification of Late Filing. Respondent filed periodic updates about the investigation and, on January 23, 2023, filed a Form 8-K stating that its investigation was substantially complete. Respondent disclosed that its financial statements for the years 2019 and 2020, its 2021 annual report, and the quarterly reports for each of the second, third, and fourth quarters of 2021 and the first quarter of 2022, were materially misstated, should no longer be relied upon, and would be restated.

24. In its January 23, 2023 Form 8-K, Respondent identified three primary causes of its overstated revenue: (1) a failure to disclose relevant terms negotiated in side agreements with channel partners and a failure to identify, consider, or properly account for such terms, (2) a failure to consider fully the impact of certain terms of sales agreements with channel partners in determining the amount and timing of revenue to be recognized, and (3) a failure to adequately assess collectability.

25. Respondent’s revenue and other financial reporting errors were pervasive. It took Respondent until December 19, 2024—nearly two and a half years from its initial non-reliance disclosure—to restate its materially misstated financial statements. As part of the process, among other things, Respondent replaced nearly its entire workforce, including management, and hired more experienced accounting professionals, including additional finance and accounting professionals with CPAs. Respondent also determined that it needed to reconstruct its books and records for the Relevant Period because it could not reliably determine which transactions were accounted for correctly at the time they were originally recorded. Respondent restated revenue to the earlier of cash receipt or software contract execution, which required the review of thousands of sales orders, cash transactions, and software contracts to finalize the restatement. Respondent’s restatement of revenue for the Relevant Period is set forth in the table below.

<i>(in thousands)</i>	2019	2020	Q1-21	Q2-21	Q3-21	Q4-21	2021	Q1-22
Reported Revenue	\$14,887	\$18,061	\$6,629	\$9,012	\$11,197	\$14,522	\$41,360	\$13,655
Adjusted Revenue	\$7,187	\$12,995	\$4,974	\$6,745	\$6,850	\$9,044	\$27,613	\$13,556
\$ Overstatement	\$7,700	\$5,066	\$1,655	\$2,267	\$4,347	\$5,478	\$13,747	\$99
% Overstatement	107%	39%	33%	34%	63%	61%	50%	1%

Violations

26. As a result of the conduct described above, Respondent violated Section 17(a)(2) of the Securities Act, which proscribes, in the offer or sale of a security, obtaining “money or property by means of any untrue statement of a material fact or any omission to state a material fact necessary in order to make the statements made, in light of the circumstances under which they were made, not misleading.” In addition, as a result of the conduct described above, Respondent violated Section 17(a)(3) of the Securities Act, which proscribes, in the offer or sale of a security, engaging “in any transaction, practice, or course of business which operates or would operate as a fraud or deceit upon the purchaser.”

27. As a result of the conduct described above, Respondent also violated Section 13(a) of the Exchange Act and Rules 13a-1, 13a-11, and 13a-13 thereunder, which require every issuer of a security registered pursuant to Section 12 of the Exchange Act to file annual, current, and quarterly reports with the Commission in accordance with such rules and regulations as the Commission may prescribe.

28. As a result of the conduct described above, Respondent also violated Section 13(b)(2)(A) of the Exchange Act, which requires reporting companies to make and keep books, records, and accounts which, in reasonable detail, accurately and fairly reflect their transactions and dispositions of their assets.

29. As a result of the conduct described above, Respondent also violated Section 13(b)(2)(B) of the Exchange Act, which requires reporting companies to devise and maintain a system of internal accounting controls sufficient to provide reasonable assurances that transactions are recorded as necessary to permit preparation of financial statements in conformity with GAAP or any other criteria applicable to such statements.

30. Lastly, as a result of the conduct described above, Respondent violated Section 14(a) of the Exchange Act and Rule 14a-9 thereunder, which prohibit the use of proxy statements containing materially false or misleading statements or omissions of material fact necessary to make statements not misleading.

Respondent's Cooperation and Remedial Efforts

31. In determining to accept the Offer, the Commission considered Respondent's cooperation with the staff's investigation and its remedial efforts after discovering the violations at issue.

32. After learning of potential misconduct, Respondent retained outside counsel to conduct an internal investigation under the direction and oversight of its Audit Committee. Respondent reported on the findings of the investigation to Commission staff and provided selected documents to illustrate certain findings. Upon request, Respondent also provided staff with additional documents and with explanations and summaries of specific factual issues. Respondent, including its leadership, also met with the staff to discuss its restatement and related issues.

33. Respondent also undertook remedial measures relating to the conduct described in the Offer of Settlement, including (i) making changes to management, the finance, sales, and accounting teams; (ii) developing training for Respondent personnel; and (iii) implementing new controls relating to Respondent's accounting, monitoring, risk assessment, and financial reporting functions, including revising its Sarbanes-Oxley compliance program.

IV.

In view of the foregoing, the Commission deems it appropriate and in the public interest to impose the sanctions agreed to in Respondent Latch's Offer.

Accordingly, it is hereby ORDERED that:

A. Pursuant to Section 8A of the Securities Act and Section 21C of the Exchange Act, Respondent Latch cease and desist from committing or causing any violations and any future violations of Sections 17(a)(2) and 17(a)(3) of the Securities Act and Sections 13(a), 13(b)(2)(A), 13(b)(2)(B), and 14(a) of the Exchange Act and Rules 13a-1, 13a-11, 13a-13, and 14a-9 thereunder.

B. Respondent shall pay a civil penalty of \$1,000,000, to the Securities and Exchange Commission for transfer to the general fund of the United States Treasury, subject to Exchange Act Section 21F(g)(3). If timely payment is not made, additional interest shall accrue pursuant to 31 U.S.C. § 3717. Payment shall be made in four quarterly installments of \$250,000, the first of which is due within twenty (20) days of the entry of this Order, and the three remaining installments are due, one per quarter, on or before the last day of the subsequent three quarters. Payments shall be applied first to post order interest, which accrues pursuant to 31 U.S.C. § 3717. Prior to making the final payment set forth herein, Respondent shall contact the staff of the Commission for the amount due. If Respondent fails to make any payment by the date agreed and/or in the amount agreed according to the schedule set forth above, all outstanding payments under this Order, including post-order interest, minus any payments made, shall become due and

payable immediately at the discretion of the staff of the Commission without further application to the Commission.

Payment must be made in one of the following ways:

- (1) Respondent may transmit payment electronically to the Commission, which will provide detailed ACH transfer/Fedwire instructions upon request;
- (2) Respondent may make direct payment from a bank account via Pay.gov through the SEC website at <http://www.sec.gov/about/offices/ofm.htm>; or
- (3) Respondent may pay by certified check, bank cashier's check, or United States postal money order, made payable to the Securities and Exchange Commission and hand-delivered or mailed to:

Enterprise Services Center
Accounts Receivable Branch
HQ Bldg., Room 181, AMZ-341
6500 South MacArthur Boulevard
Oklahoma City, OK 73169

Payments by check or money order must be accompanied by a cover letter identifying Latch, Inc. as a Respondent in these proceedings, and the file number of these proceedings; a copy of the cover letter and check or money order must be sent to Scott A. Thompson, Associate Director, Division of Enforcement, Securities and Exchange Commission, 1617 John F. Kennedy Blvd., Suite 520, Philadelphia, PA 19103-1844.

C. Amounts ordered to be paid as civil money penalties pursuant to this Order shall be treated as penalties paid to the government for all purposes, including all tax purposes. To preserve the deterrent effect of the civil penalty, Respondent agrees that in any Related Investor Action, it shall not argue that it is entitled to, nor shall it benefit by, offset or reduction of any award of compensatory damages by the amount of any part of Respondent's payment of a civil penalty in this action ("Penalty Offset"). If the court in any Related Investor Action grants such a Penalty Offset, Respondent agrees that it shall, within 30 days after entry of a final order granting the Penalty Offset, notify the Commission's counsel in this action and pay the amount of the Penalty Offset to the Securities and Exchange Commission. Such a payment shall not be deemed an additional civil penalty and shall not be deemed to change the amount of the civil penalty imposed in this proceeding. For purposes of this paragraph, a "Related Investor Action" means a private damages action brought against Respondent by or on behalf of one or more investors based on substantially the same facts as alleged in the Order instituted by the Commission in this proceeding.

By the Commission.

Vanessa A. Countryman
Secretary